

FARFETCH

Presented By:**Team 4**

Pranay
Nishita
Nethra
Shwetha
Murphy

By submitting this deck of case slides,the members of our team affirm that we all participated in the analysis of the case and the creation of this document.

Situation: 5Cs Analysis of Farfetch

In 2021, Farfetch leads luxury's digital transformation but struggles with profitability.

Context

- Luxury market –23% in 2020 but expected to recover.
- Online share 12% → 23% → 30% by 2025
- China share 33% → 45% ('25)
- Millennials + Gen Z = 2/3 of all buyers
- 78% of online luxury purchases on multi-brand platforms
- ersonal luxury market → €330–370B by 2025; online = €115B

Company

- Founded 2008 | IPO 2018
- Marketplace + FPS model
- 1,400 sellers | 3.4M consumers | 190 countries
- GMV $910M (2017) → $3.2B (2020); 52% CAGR
- Operating margin –37%; operating loss –$620M (2020)
- 3 BUs: Marketplace, FPS, NGG (owned brands)
- NGG brand ownership creates conflict-of-interest with brand partners

Customers

- 60% female | mid 30s
- Avg order $600
- Top 1% = 27% of GMV
- Expect seamless luxury experience
- Chinese buyer avg. age 28; digitally native; fastest-growing segment
- B2B: ~780 boutiques + 560 brand concessions on Marketplace
- FPS serves 20+ large brands & retailers (Harrods, Thom Browne)

Competitors

- YNAP | MyTheresa | 24S (LVMH) | Tmall Luxury Pavilion | Amazon Luxury Stores
- All face profit pressure
- Brands go direct online
- Arnault: "More scale = more losses"

Collaborators

- Kering | Richemont | Alibaba alliance
- "Luxury New Retail" in China
- FPS powers brand websites
- Store of Future pilots (Chanel, Browns)

STP Analysis

Segmentation

B2C Segments	Profile	Behaviour	Value to Farfetch
Aspirational Millennial	Age 25-35, emerging HHI	Discovery-driven, brand-hopping	High LTV potential, volume driver
Established Affluent	Age 35-50, HHI $120K+	Curated access, AOV $600+	Core GMV contributor
Chinese Luxury Buyer	Avg age 28, digital-native	Social-influenced, WeChat-centric	Highest growth geography
Private Client (top 1%)	Ultra HNW, global traveller	High frequency, multi-brand	27.2% of platform GMV

B2B Segments	Characteristics	Need	Farfetch product fit
Small/independent brands	Limited D2C capability	Distribution reach, data	Marketplace listing
Large luxury brands	Brand control priority	Tech infrastructure, China access	FPS + Store of the Future
LVMH-tier holdouts	Own ecosystem ambition	Controlled distribution only	FPS (not Marketplace) pitch

Targeting

Primary 1 - Chinese luxury consumers via Alibaba/Tmall:

- Access to 800M Tmall users; 757M Alibaba consumers newly reachable
- 90%+ of Farfetch's 3,500+ brands were previously absent from Tmall
- China will represent the largest luxury market globally by 2025
- CAC via Tmall partnership is likely lower than Western digital advertising

Primary 2 - Large luxury brands as FPS clients:

- FPS generates higher margins than Marketplace (success-fee vs. commission)
- Less threatening to brands, positions Farfetch as infrastructure, not competitor
- Harrods FPS case demonstrates 18-month delivery vs. 36-month competitor attempts
- Richemont relationship creates a natural pipeline for YNAP's 5.3M customers

Secondary - Private Client (top 1%) retention:

- This group generates 27.2% of Digital Platform GMV from just 1% of users
- Personal shopper, priority access, exclusive events are high-ROI retention mechanisms
- Losing even 10% of this tier would represent ~$86M GMV loss

Positioning

For luxury consumers: Farfetch is the single destination to discover, curate, and purchase across the entire luxury universe, combining the breadth of a department store with the personalisation of a private stylist.
For luxury brands: Farfetch is the operating system of luxury, providing the technology infrastructure that makes global digital commerce possible without threatening brand equity or customer ownership.

Analogy: Shopify-for-luxury + marketplace. Not Amazon-for-luxury.

The Zone to Win

01 Performance Zone

Marketplace

- Current core business and bulk of GMV
- Provides consumer traffic, seller network, and demand data
- Funds the business today
- Must be defended, but not treated as the only future

02 Productivity Zone

Shared Platform Backbone

- Common e-commerce platform
- Logistics, fulfillment, payments, content creation
- Data science and engineering reuse
- Makes FPS scalable and supports both Marketplace and FPS

03 Incubation Zone

NGG + New Category Bets

- Testing ground for innovation and new ideas
- Beauty, resale, and rental remain options
- Keep these as experiments, not major investment priorities

04 Transformation Zone

FPS + Store of the Future + Omnichannel Enablement

- White-label digital commerce for luxury brands
- Supports brands' direct customer relationships
- More profitable than Marketplace if set up well
- Less threatening to major brands
- Harder to scale, but stronger long-term strategic position

The Path to Sustainable & Profitable Growth

BASE YEAR 2020 FINANCIALS



Excel Link

Metric	Revenue	Gross Profit	SG&A	Operating Profit
Value ($ M)	1,674	771	-1,352	−620

PROJECTED YEAR 2025 FINANCIALS

For Marketplace Only:

Metric	2025 Revenue	2025 Gross Profit	SG&A (2025)	2025 Operating Profit	Investment ('20–'25)	5-Year ROI
Value ($ M)	1,323	530	1,600	−1,071	1,000	−45%

For FPS-First:

Metric	2025 Revenue	2025 Gross Profit	SG&A (2025)	2025 Operating Profit	Investment ('20–'25)	5-Year ROI
Value ($ M)	1,397	653	1,075	-422	1,000	+19.79%

For Omnichannel:

Metric	2025 Revenue	2025 Gross Profit	SG&A (2025)	2025 Operating Profit	Investment ('20–'25)	5-Year ROI
Value ($ M)	1,650	699	1,400	-701	1,000	-8.10%

Profitability

- **FPS First:** delivers the smallest operating loss at –$422M, a **$198M** profit improvement from the 2020 baseline. This result is far superior to the deeper losses of the Omnichannel (–$701M) and Marketplace-Only (–$1,071M) strategies **Marketplace-**
- **Only:** Fails as case confirms challenging economics, thin margins, and increasing customer acquisition costs. **Omnichannel:** Too complex as case warns juggling multiple
- priorities introduces risk. Also, this contradicts the CFO's warning to "prioritize" and spooking investors who "love certainty".

Sustainability

- **FPS-First Creates Value:** The only strategy to generate a positive +19.79% ROI, proving it is a sustainable investment.
- **Alternatives Yield Negative Returns:** Both Marketplace-Only (–45% ROI) and Omnichannel (–8.10% ROI) are financially unsustainable, as they fail to recover their initial investment.

FPS First Long-Term Benefits

- **Solves Core Brand Fears**: Addresses industry's fear of "losing control" of customer relationships.
- **Builds Trust (Enabler vs. Competitor):** Less threating white-label solution empowers brands like Harrods
- **Creates Stable B2B Revenue:** High switching costs for core tech platform vs. low costs for leaving a marketplace.
- **Can Win Over Key Players**: Logical strategy to finally partner with market leaders like Louis Vuitton, who resist the Marketplace.

Recommend FPS-First: Become the OS for Luxury

Keep Marketplace as the demand flywheel. Make FPS the growth engine. Ring-fence NGG to restore brand trust.

Marketplace-Only

REJECTED: FIGHTS THE DTC TREND

+ 3.4M active consumers
+ Network effects at scale
- Rising CAC ($66M/qtr)
- Alienates DTC-focused brands
- LVMH has no incentive to join

FPS-First

SELECTED: BEST RISK-ADJUSTED RETURN

+ Higher margin per $1K GMV
+ Non-threatening to brands
+ Only path to winning LVMH
- Harder to scale (4-18 mo.)

RECOMMENDED

Omnichannel

REJECTED: COMPOUNDS COMPLEXITY

+ Diversified revenue
+ Captures all growth vectors
- SG&A scaling faster than revenue
- Spreads resources thinner
- Confuses market narrative

THE SHOPIFY PRECEDENT *Infrastructure Wins, Storefronts Lose*

Be the store: Amazon Basics, NGG, YNAP all triggered partner distrust, antitrust scrutiny, or losses. At 1% market share, Farfetch lacks the leverage.

Be the electricity: Shopify chose infrastructure over marketplace. Never owned competing brands. Brands trust it. Market cap: $100B+. FPS is this model applied to luxury.

Priority Actions

00 **Farfetch is spending 80 cents to earn every dollar of revenue, scaling growth initiatives on top of that math doesn't build a business, it just accelerates the losses.**

01 Lead with FPS

Reposition as 'the technology platform for luxury commerce.' FPS becomes the lead product; Marketplace is the proof of concept.

Key Moves

- Reduce onboarding from 18 mo. to 6-8 via modular builds
- Double FPS clients from 20+ to 40+ in 18 months
- Pitch LVMH exclusively on FPS + Store of the Future
- Bundle Store of the Future into every FPS proposal

02 Ring-Fence NGG

Strategic review of NGG portfolio. Separate P&L and leadership. Public commitment: no further brand acquisitions.

Key Moves

- Formal review: credible signal, not a fire sale
- Retain NGG brands as MP + FPS clients post any exit
- Use narrative shift to open LVMH and Hermes doors
- Resolve the 'Amazon Basics' problem: platform neutrality
- Track: brand partner NPS, LVMH/Hermes engagement

03 Activate Alibaba Partnership

Execute the $1.15B Luxury New Retail partnership. 90%+ of 3,500 brands not live on Tmall. China = largest luxury market by 2025.

Key Moves

- 500+ brands live on Tmall Luxury Pavilion in 12 months
- Waive Year 1 onboarding fees to accelerate activation
- Build WeChat FPS capability for brand-native stores
- Localize editorial for Chinese consumers
- Activate Baidu, ByteDance/TikTok, Weibo integrations

04 Deepen Private Client Program

Top 1% (~30K consumers) = 27.2% of GMV ($867M). 10% churn = $87M GMV gone. Retention is 10x cheaper than acquisition.

Key Moves

- Hire 50+ dedicated personal shoppers globally
- Exclusive app: reserved drops, private sale windows
- Data science for churn prediction within top 1% tier
- Annual 'luxury passport': atelier access, brand previews
- Target: 95%+ retention rate for Private Client tier



Thank you

